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SAMPLE CMT LEVEL II EXAM

PREFACE:

The following document is a sample exam only, not an actual exam of current or former designation in any way. The questions have been constructed/ phrased in a manner that is similar to past exams, but none of these questions, to the knowledge of the MTA staff, have ever appeared on an exam. The objective of this sample exam is to give as clear an indication as possible of the question structure and language one can expect in the exam. Every reasonable effort has been taken to make these exam questions representative of what candidates will see in the exams, however the following caveats should be noted.

- Exam questions change constantly. There may be up to 25% variation in the question mix in the Level I exams from one test cycle to the next. These sample questions are patterned after a limited number of questions drawn from a much larger pool of actual exam questions. This further increases the chances that the questions appearing in the exam may be significantly different from those contained in this sample. Candidates are cautioned **not to expect** the questions from the previous years' exams to appear in the current year.
- Candidate knowledge and experience will vary. The actual exam questions may be more difficult than those represented here, though that is unintentional. A question may be more difficult for one candidate and not another.
- The sample questions cover a variety of topics; however, in the actual exam the weighting may vary, i.e. the proportion of questions drawn from different topics may be different from the pattern followed in this sample paper.
- The actual exam consists of 170 questions of which 135 are scored items. Candidates are allotted three to take the Level I exam. This sample exam should be completed in 3 hours to better simulate performance on the exam.

Please note that this sample question booklet has been prepared completely independently from the exam to ensure that the questions that will appear in the actual exam paper remain secure and confidential. Candidates are encouraged to utilize this resource and to discuss and clarify questions regarding the areas of the Body of Knowledge where they lack familiarity or seek better understanding.

CMT Level 2 Sample Questions – Candidate Answer Sheet

1. _____	31. _____	61. _____	91. _____	121. _____
2. _____	32. _____	62. _____	92. _____	122. _____
3. _____	33. _____	63. _____	93. _____	123. _____
4. _____	34. _____	64. _____	94. _____	124. _____
5. _____	35. _____	65. _____	95. _____	125. _____
6. _____	36. _____	66. _____	96. _____	126. _____
7. _____	37. _____	67. _____	97. _____	127. _____
8. _____	38. _____	68. _____	98. _____	128. _____
9. _____	39. _____	69. _____	99. _____	129. _____
10. _____	40. _____	70. _____	100. _____	130. _____
11. _____	41. _____	71. _____	101. _____	131. _____
12. _____	42. _____	72. _____	102. _____	132. _____
13. _____	43. _____	73. _____	103. _____	133. _____
14. _____	44. _____	74. _____	104. _____	134. _____
15. _____	45. _____	75. _____	105. _____	135. _____
16. _____	46. _____	76. _____	106. _____	136. _____
17. _____	47. _____	77. _____	107. _____	137. _____
18. _____	48. _____	78. _____	108. _____	138. _____
19. _____	49. _____	79. _____	109. _____	139. _____
20. _____	50. _____	80. _____	110. _____	140. _____
21. _____	51. _____	81. _____	111. _____	141. _____
22. _____	52. _____	82. _____	112. _____	142. _____
23. _____	53. _____	83. _____	113. _____	143. _____
24. _____	54. _____	84. _____	114. _____	144. _____
25. _____	55. _____	85. _____	115. _____	145. _____
26. _____	56. _____	86. _____	116. _____	146. _____
27. _____	57. _____	87. _____	117. _____	147. _____
28. _____	58. _____	88. _____	118. _____	148. _____
29. _____	59. _____	89. _____	119. _____	149. _____
30. _____	60. _____	90. _____	120. _____	150. _____

1. John Welsh, CFA, CMT, is the founder of YMR Research, an investment management firm that specializes in short selling. Welsh identifies stocks that appear over-extended on price charts after large price increases. Additionally, Welsh also buys research from third-party firms that provide timely updates on any legislative or regulatory changes that may impact his shorted stocks favorably. Welsh sells short those stocks he estimates are due for a trend reversal, are near a valuation peak, and those that his sources identify as facing legal or regulatory challenges. Immediately after he sells a stock, Welsh conducts a public relations campaign to disclose all of the negative information he has gathered on the company, even if the information is not yet public. Which of Welsh's actions is most likely to be in violation of the CFA Institute Standards of Professional Conduct?
 - a) Selling stock short
 - b) Only disclosing information about target companies
 - c) Only trading on information from third-party research
 - d) Both disclosing information about target companies and trading on information from third party research

2. Which of the following statements concerning requirements under Standard V (B) - Communication with Clients and Prospective Clients is mostly likely accurate? This standard requires members and candidates to:
 - a) disclose the basic format and general principles of the investment process.
 - b) divulge the number of investment related personnel responsible for external communication.
 - c) promoting fair competition among investment management firms by disclosing manager remuneration.
 - d) avoid distinguishing between fact and opinion in the presentation of investment analysis and recommendations to keep presentations simple.

3. James Thompson, CFA, has been accused of professional misconduct. The allegations concern Thompson's personal bankruptcy filing 10 years ago when he was a college student and had a large amount of credit card bills he could not pay. By not disclosing the bankruptcy filing to his clients, did Thompson most likely violate any CFA Institute Standards of Professional Conduct?
 - a) No
 - b) Yes, related to Misconduct
 - c) Yes, related to Misrepresentation
 - d) Yes, related to Communication with Clients and Prospective Clients

4. Emma Simone, CFA, CMT, manages equity accounts for government entities whose portfolios are classified as being extremely conservative and risk averse. Given that the objective of the said clients is to maximize returns with the lowest possible risk, Simone considers adding to their holdings, shares of Pinnacle Corp, a new, illiquid, micro-cap stock that she believes has the potential for high returns. To make her investment decision, Simone relies on comprehensive third-party research from an investment bank with a solid reputation for top-quality research. After her review of that research, Simone positions her accounts so each has a 10% allocation to Pinnacle Corp. Did Simone most likely violate any CFA Institute Standards of Professional Conduct by purchasing the micro-cap stock for her clients?
- a) No
 - b) Yes, related to Suitability
 - c) Yes, related to Loyalty, Prudence and Care
 - d) Yes, related to Diligence and Reasonable Basis
5. Which of the following actions would be considered a violation of the standard on market manipulation?
- a) Trading of low volume securities to exploit market inefficiencies
 - b) Selling a stock and immediately buying it back to capture tax benefits
 - c) Trading high volumes in liquid stocks to capture arbitrage opportunities
 - d) Issuing false rumors about an investment to induce trading by others so you can benefit from the change in share price
6. Capturing information from which of the following internet-based sources is most likely to be considered material nonpublic information, if the information cannot be found in other locations?
- a) A Facebook post from a publicly traded company, readily accessible to anyone
 - b) An earnings update that was accidentally pre-released on the Company's official public Twitter feed
 - c) A discussion thread in a LinkedIn group accessible only after fulfilling specific membership requirements
 - d) An adjustment in company ratings announcement from an investment manager's password-protected website available to clients

7. David Kelso, CFA, CMT, a research analyst, changes his recommendation on shares of Shine Inc. from “sell” to “buy”. Kelso emailed this change in investment advice to all his customers before the market open. Three hours later, one of his clients called with a short sell order of 500 shares of Shine. Under these circumstances, Kelso:
 - a) should accept the order because it is a transaction requested by his client.
 - b) should not accept the order as it counters the change in recommendation.
 - c) should advise the customer of the change in recommendation before accepting the order.
 - d) should not accept the order until one trading day has elapsed after the communication of the change in recommendation.

8. To undertake independent practice for an outside entity, apart from fulfilling their duties to their regular employer, members:
 - a) need not obtain permission from their employer.
 - b) need to obtain permission from the outside entity only.
 - c) need to obtain permission from both the outside entity and their employer.
 - d) need not obtain permission from either the outside entity or their employer.

9. Which of the following patterns resonate with price action highlighted within the black circle?



- a) Pullback
- b) Bull trap
- c) Bear trap
- d) Throwback

10. For a long trade initiated at point Z, which of the following represent an ideal stop-loss point?



- a) A close below point A
- b) A close below point B
- c) A close below point C
- d) An intra-day penetration of Point A

11. According to Bulkowski, what is the minimum measured price objective for the gap observed at point B?



- a) 662
- b) 674.5
- c) 687.5
- d) 700

12. Identify the chart pattern highlighted below:



- a) Triple top
- b) Double top
- c) Ascending triangle
- d) Head and Shoulders top

13. Identify the chart pattern highlighted below:



- a) Double top
- b) Descending triangle
- c) Symmetrical triangle
- d) Head and Shoulders pattern

14. Based on the chart shown below, identify the best course of action:



- a) Go short immediately.
- b) Go long as shares are retesting the trendline.
- c) Go short only below point B, as point B is the beginning of a trend.
- d) Wait for a close below point A and execute shorts when prices are 3% below the neckline.

15. Identify the chart pattern highlighted below:



- a) Rising wedge
- b) Ascending triangle
- c) Descending triangle
- d) Head and Shoulders bottom

16. Identify the chart pattern highlighted below at point A:



- a) Pullback
- b) Bull trap
- c) Bear trap
- d) Throwback

17. Identify the chart pattern highlighted below:



- a) Triple bottom
- b) Descending triangle
- c) Head and Shoulders
- d) Head and Shoulders bottom

18. Identify the chart pattern highlighted below:



- a) Adam
- b) Rectangle
- c) Double bottom
- d) Head and Shoulders bottom

19. Identify the chart pattern highlighted below:



- a) Flag
- b) Wedge
- c) Pennant
- d) Ascending triangle

20. An exhaustion gap is often found:
- a) at the end of a significant move.
 - b) in the middle of a significant move.
 - c) at the beginning of a significant move.
 - d) after the announcement of a surprising but rumored news release.
21. In a Head & Shoulders pattern, volume is generally:
- a) consistent throughout the pattern.
 - b) light as prices approach the peak.
 - c) highest on a penetration through the neckline.
 - d) heaviest during the formation of the left shoulder.
22. A well-defined price channel should cover ____ of all prices that occurred during the past 100 bars.
- a) 90%
 - b) 95%
 - c) 99%
 - d) 100%
23. According to Schabacker, which of the following guidelines help in identifying the end of bull markets?
- 1. Interest rates have declined.
 - 2. Commodity prices have declined.
 - 3. Trading volumes increase sharply.
 - 4. Popular stocks advance significantly while other companies' stocks collapse.
- a) 2 only
 - b) 1 & 2 only
 - c) 3 & 4 only
 - d) All of the above
24. According to the Dow Theory, which of the following stages are normally accompanied by highest volume?
- a) Middle of a bull/ bear market
 - b) Beginning of a bull/ bear market
 - c) Only during the beginning and middle of a bull market
 - d) Peak of a bull market or the panic phase of bear market

25. The implied volatility of an option is the projection of an annualized _____ standard deviation move in the underlying stock over the life of the option.

- a) one
- b) two
- c) three
- d) four

26. A V-top or V-bottom is always accompanied by _____ and usually _____.

- a) high volatility, low volume
- b) high volatility, high volume
- c) low volatility, low volume
- d) low volatility, high volume

27. Increased buying of options by market participants leads to:

- a) a decrease in open interest.
- b) a decrease in implied volatility.
- c) an increase in implied volatility.
- d) neither an increase nor a decrease in implied volatility.

28. Which of the following is a measure used by option traders to analyze overvalued / undervalued options?

- a) Put/ call parity
- b) Plurality index
- c) Implied volatility
- d) Standard deviation

29. Which of the following involves the use of correlation to predict future values of one security to another?

- a) Variance
- b) Regression
- c) Standard deviation
- d) Correlation coefficient

30. The choice of two standard deviations when plotting Bollinger bands equates to a confidence band of:

- a) 68.2%.
- b) 87%.
- c) 95%.
- d) 95.4%.

31. Interest rate futures, money markets, and _____ stocks are among the investment vehicles closely tied to government rate policy.
- a) utility
 - b) energy
 - c) industrial
 - d) transportation
32. In a trend following system, the slower trendline (using a longer calculation period) identifies the _____ trend while faster trendline is used for/ as a _____.
- a) primary, timing
 - b) primary, stop-loss
 - c) secondary, timing
 - d) intermediate, stop-loss
33. Which of the following types of trailing stops only advance once triggered, but never retreat?
- a) ATR-based
 - b) Fixed percentage
 - c) Percentage of profits
 - d) Wilder's Parabolic SAR
34. The histogram on a MACD indicator is created by subtracting the _____ line from the _____ line.
- a) faster signal, MACD
 - b) slower signal, MACD
 - c) slower signal, faster signal
 - d) faster signal, slower signal

35. In the following chart where is a negative divergence in RSI observed?



- a) A
- b) B
- c) C
- d) D

36. Identify the highlighted chart pattern below:



- a) Triple bottom
- b) Double bottom
- c) Cup and handle formation
- d) Head and Shoulders bottom

37. Identify the candlestick chart pattern highlighted below:



- a) Three black crows
- b) Three rising soldiers
- c) Falling three method
- d) Rising three method

38. Identify the candlestick chart pattern highlighted below within circle A:



- a) Evening star
- b) Shooting star
- c) Bullish Harami
- d) Spinning top bearish

39. New short-selling is normally observed when declining prices are accompanied by _____ volume and _____ open interest.

- a) falling, rising
- b) rising, rising
- c) falling, falling
- d) rising, falling

40. Momentum refers to an analysis of:

- a) price over time.
- b) volume over time.
- c) price change over time.
- d) change in price relative to another security.

41. A combination of rising prices and flat On-balance volume (OBV) trend indicates a:

- a) weak uptrend.
- b) clear uptrend.
- c) moderate uptrend.
- d) distribution period.

42. Which of the following can be used to predict the future price trend of a market based on its correlation with multiple related markets?

- a) Variance
- b) Linear regression
- c) Standard deviation
- d) Correlation coefficient

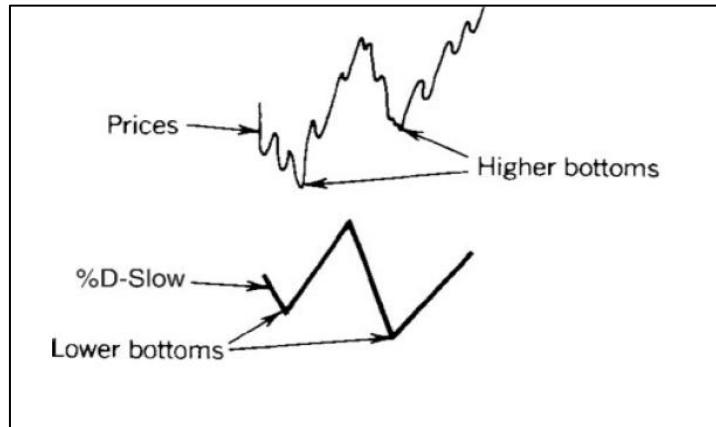
43. The presence of a “fat tail” suggests that:

- a) prices are normally distributed.
- b) prices are not normally distributed.
- c) trend following systems do not work.
- d) the price action of major financial instruments can be explained by a random distribution.

44. Typically, the _____ year of a president’s term posts the strongest returns for the market as per the Presidential Cycle.

- a) first
- b) second
- c) third
- d) fourth

45. Identify the stochastic pattern shown in the chart.



- a) Hinge
- b) Failure
- c) Warning
- d) Setup (bearish)

46. Amplitude refers to:

- a) the height of the wave from its horizontal midpoint (the X-axis).
- b) the number of time units necessary to complete one wavelength.
- c) the number of wavelengths that repeat every 360° , calculated as $\omega = 1/T$.
- d) a measurement of the starting point or offset of the cycle relative to a benchmark wave.

47. _____ is known for emphasizing a high level of rationality in investor behavior and aggregate market outcome.

- a) The Dow theory
- b) Behavioral finance
- c) The Adaptive Market hypothesis
- d) The Efficient Markets hypothesis

48. In an ideal situation, stock prices of metal mining companies and the U.S. dollar index are:

- a) positively correlated.
- b) negatively correlated.
- c) positively correlated, but only in an inflationary environment.
- d) negatively correlated, but only in an deflationary environment.

49. To boost exports, the People's Bank of China decided to devalue its currency, yuan. In order to accomplish this, the Bank is most likely to:

- a) sell U.S. dollars.
- b) impose capital controls.
- c) tighten money supply in the economy.
- d) increase the overnight borrowing rate of interest.

50. Near the end of an economic expansion:

- a) all the asset classes turn down simultaneously.
- b) bonds turn down before stocks and commodities.
- c) stocks turn down before bonds and commodities.
- d) commodities turn down before stocks and bonds.

51. Fluctuations in the U.S. dollar will have an impact on the price of gold because:

- a) falling U.S. dollar is deflationary.
- b) gold is denominated in U.S. dollars.
- c) U.S. exports a significant quantity of gold.
- d) the value of U.S. dollars is backed by gold.

52. Sophisticated traders can incorporate intermarket analysis in their trading decisions through:

- a) seasonality analysis.
- b) momentum analysis.
- c) macroeconomic analysis.
- d) charts and correlation analysis.

53. The Bank of Japan decides to buy U.S. dollars in order to push the Japanese yen lower. As a result, Japanese equity markets are expected to:

- a) rise.
- b) decline.
- c) stay unchanged.
- d) rise in the long run, but likely to remain unaffected in the short term.

54. Borrowing yen at lower interest rates and buying higher yielding assets such as emerging market equities or bonds will:

- a) push Japanese equities lower.
- b) have no impact on Japanese equities.
- c) push emerging market bonds and equities lower.
- d) push emerging market bonds and equities higher.

55. A key advantage of intermarket analysis as compared to traditional technical indicators is the addition of:

- a) an economic indicator to forecast trend direction.
- b) a sentiment indicator to forecast trend direction.
- c) lagging indicators that confirm reversals in trend direction.
- d) leading indicators that anticipate reversals in trend direction.

56. Bonds have an impressive record as a leading indicator for the stock market, although this information cannot be used in constructing a trading system because:

- a) the lead times can be quite small.
- b) equity-bond relationship is a myth.
- c) the lead times can be quite long, ranging from one to two years.
- d) the lead times can be quite long, ranging from one to two months.

57. From a portfolio diversification perspective, the benefit of including foreign stocks is:

- a) clear, because of low correlation between different stock markets.
- b) doubtful, because of low positive correlation between different stock markets.
- c) doubtful, as equity markets around the world tend to have strong positive correlation.
- d) clear, as equity markets around the world tend to have meaningfully negative correlation.

58. Major changes in commodity prices affect the bond markets of different countries:

- a) in a similar way.
- b) in different ways, depending upon their demographics.
- c) in different ways, depending upon their economic structure.
- d) in different ways, depending upon their monetary policy structure.

59. During periods of economic contractions/ recessions, which of the following asset classes are likely to outperform equity markets on a relative as well as absolute basis?

- a) Bonds
- b) Precious metals
- c) Industrial metals
- d) Emerging market stocks

60. Based on the correlation matrix, identify two instruments that can be combined with the FTSE to reduce overall portfolio risk by diversification:

TABLE 3.2 Pearson's Correlation of Monthly Percentage Yields for the 10-year Period from 1997 to 2006							
Correlation of Monthly Returns							
	S&P 500	FTSE	Hang Seng	Bonds	GBP	Gold	Crude Oil
S&P 500	1	0.81	0.57	-0.06	-0.09	-0.04	-0.03
FTSE	0.81	1	0.57	-0.02	-0.30	-0.06	0.03
Hang Seng	0.57	0.57	1	0.05	0.00	0.11	0.18
Bonds	-0.06	-0.02	0.05	1	0.10	0.08	0.11
GBP	-0.09	-0.30	0.00	0.10	1	0.36	0.00
Gold	-0.04	-0.06	0.11	0.08	0.36	1	0.18
Oil	-0.03	0.03	0.18	0.11	0.00	0.18	1

- a) Gold, bonds
- b) GBP, gold
- c) S&P 500, GBP
- d) S&P 500, Hang Seng

61. From an intermarket perspective, a bullish breakout from the ascending triangle (highlighted by a circle) in the U.S. dollar index will result in crude oil:



- a) trading lower.
- b) trading higher.
- c) behaving randomly.
- d) consolidating sideways.

62. The MACD histogram (in the traditional setup) is calculated by taking:

- a) the difference between the 12 and 26-day SMAs.
- b) the difference between the 26 and 12-day SMAs.
- c) the difference between the 12 and 26-day EMAs.
- d) the difference between the 26 and 12-day EMAs.

63. A buy signal using the MACD histogram is generated when:

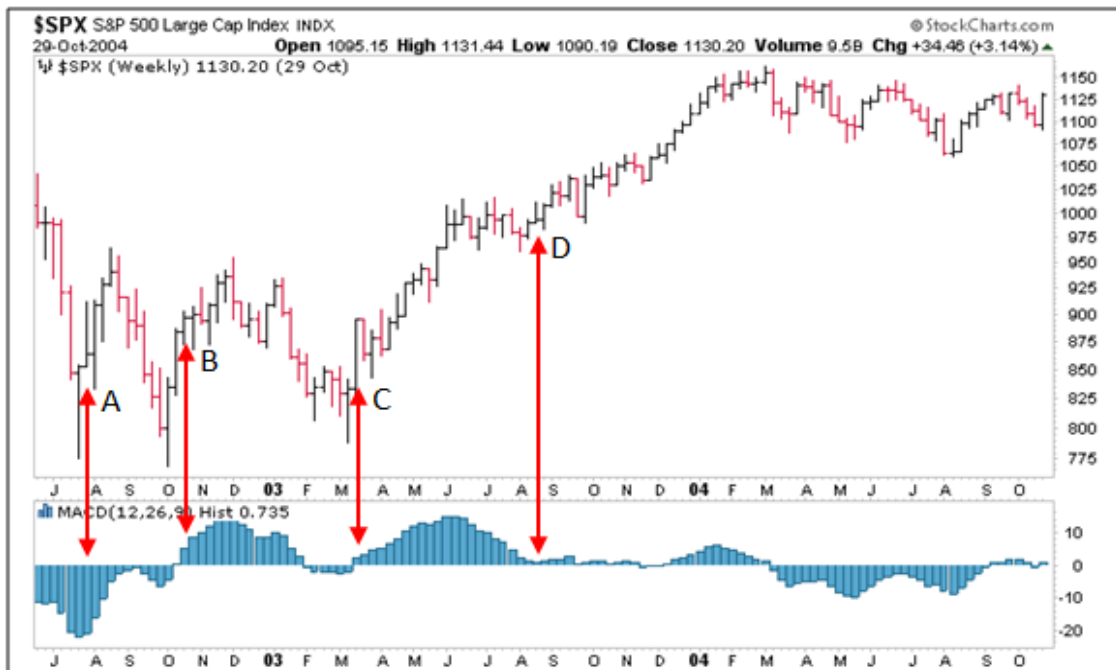
- a) the MACD histogram stops falling and ticks up.
- b) the MACD line crosses the signal line from below.
- c) the MACD line crosses the signal line from above.
- d) the MACD histogram stops rising and ticks down.

64. Identify the chart pattern highlighted below:



- a) Bull trap
- b) Divergence
- c) Confirmation
- d) Consolidation

65. Which of the following represents a valid MACD histogram buy signal?



- a) A
- b) B
- c) C
- d) D

66. If a trader is attempting to trade MACD divergences based on the chart shown below, which of the following statements would reflect the most appropriate line of action?



- a) Go short on the bar marked by vertical line “A” as the MACD turns lower.
- b) Go short on the bar marked by vertical line “B” as momentum is not at previous highs while price action is.
- c) Go short on the bar marked by vertical line “C”, as it is the point when the MACD divergence is confirmed with a lower high and the MACD fast line crossing beneath the MACD signal line.
- d) Despite the negative MACD divergence, refrain from going short as prices are retesting a support level (uptrend line).

67. Oscillators:

- a) help in identifying trends.
- b) are greed and fear indicators.
- c) help in catching turning points.
- d) measure the velocity of the price trends.

68. Which of the following is essentially a leading or a coincident indicator?

- a) Relative Strength Index
- b) Simple moving average
- c) Exponential moving average
- d) Average Directional indicator

69. Which of the following is a valid RSI signal?

- a) Breadth
- b) Divergence
- c) Convergence
- d) Support and resistance

70. Which of the following instances marks a valid sell signal with respect to the Directional system?



- a) A
- b) B
- c) C
- d) D

71. It pays to buy using overbought signals of daily RSI only when:

- a) the weekly RSI trend is up.
- b) weekly RSI reading is above 30.
- c) the weekly trend in RSI is down.
- d) the monthly trend in RSI is down.

72. The Force index combines _____ and _____ to discover the force of bulls or bears behind every rally or decline.

- a) volume, price
- b) price, open interest
- c) market breadth, price
- d) price momentum, volume

73. Consensus indicators, also known as contrary opinion indicators:

- a) are suitable for precision timing.
- b) can only be applied in equity markets.
- c) are only suitable only as warning signs.
- d) are excellent market breadth indicators.

74. Market Letter writers:

- a) are the most objective and informed group of market participants.
- b) have an impressive record of predicting tops and bottoms in the market.
- c) have an impressive record of predicting tops but not bottoms in the market.
- d) are most bullish at market tops and most bearish at market bottoms as a group.

75. When a leading business magazine puts a bull on its cover, it's usually:

- a) a good time to take profits on long positions.
- b) safe to consider that a major bottom cannot be too far.
- c) a safe bet to ignore the fact as magazine subscribers barely trade.
- d) an opportunity to go long as magazines present an objective and informed opinion.

76. European investors not buying portfolio insurance, considering the calming effect of ECB President, Mario Draghi's comments on global financial markets, is an example of which of the following biases?

- a) Framing bias
- b) Saliency bias
- c) Anchoring bias
- d) Sunk-Cost bias

77. An investor invests in stock A with a long term perspective and his goal is capital appreciation. In five years, his investment grows 20-fold. He is advised by his financial advisor to sell half of his stake in stock A and invest in stock B, which he feels is expected to perform better than stock A. According to the endowment effect, the investor is expected to:

- a) avoid selling stock A.
- b) sell 100% of stock A.
- c) sell 50% of stock A & invest in stock B.
- d) sell 100% of stock A & invest in stock B.

78. Consider two stocks with an initial investment of \$10,000, currently facing the following prospects:

- Stock A currently has a loss of -\$2,000, and going forward has a 50 percent chance of going down \$1,000 and a 50 percent chance of going up \$2,500.
- Stock B currently has a gain of \$2,000, and going forward has a 40 percent chance of going down \$1,000 and a 60 percent chance of going up \$2,500.

The investor needs to close out one position to pay off other debts. Which one is (s)he most likely to choose?

- a) Avoid selling stock A
- b) Avoid selling stock B
- c) Sell 50% of stock A & invest in stock B
- d) Sell 100% of stock A & invest in stock B

79. The biggest drawback of a relative strength system is that:

- a) the hedging cost is meaningfully high.
- b) the portfolio is long-only and is fully invested.
- c) it invests by adding non-correlated asset classes.
- d) relative strength is normally unsustainable over a meaningful time period.

80. One of the possible solutions to control losses and drawdowns while using a relative strength rotation system is to:

- a) add correlated asset classes.
- b) add non-correlated asset classes.
- c) add corporate debt to the portfolio.
- d) add government bonds to the portfolio.

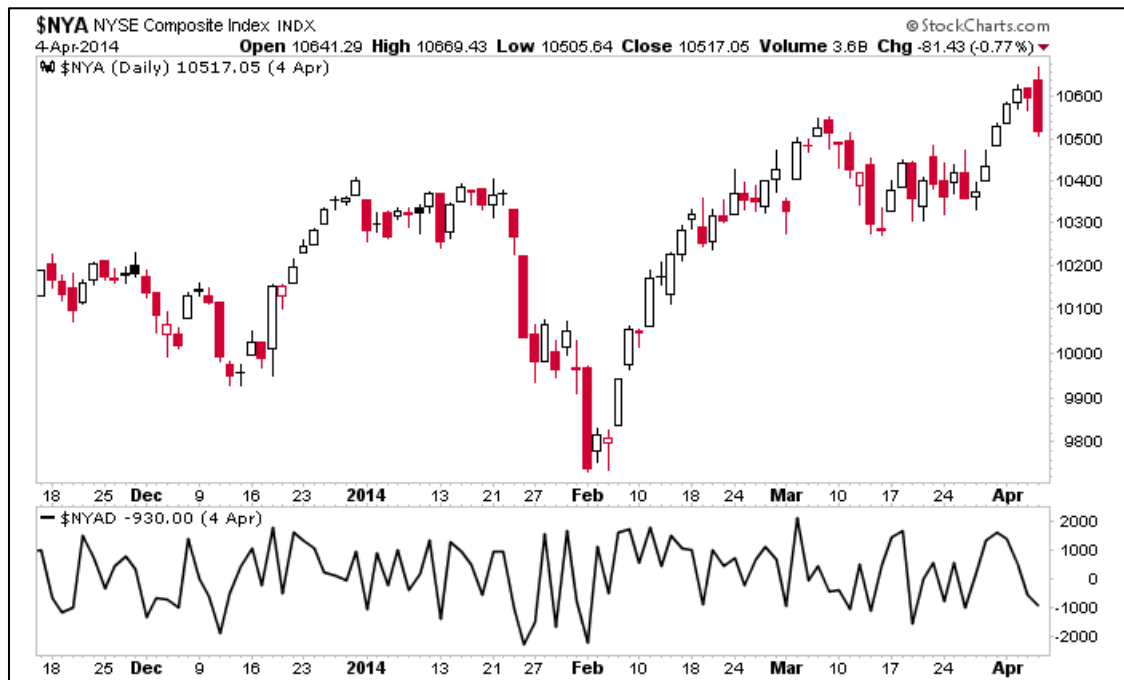
81. Daily market volatility gives a good approximation of:

- a) long-term risk.
- b) short-term risk.
- c) systematic risk.
- d) unsystematic risk.

82. Which of the following represents the greatest risk for traders?

- a) Delta risk
- b) Price shock
- c) Systematic risk
- d) Unsystematic risk

83. Based on the chart shown below, analyze the behavior of the A/D line.



- a) The A/D line is confirming the breakout to new highs.
- b) The behavior of the A/D line suggests that the rally should continue.
- c) The behavior of the A/D line suggests that the rally may take a short-term pause.
- d) The breakout to new highs is not being confirmed by broader market participation.

84. Which of the following instances represent a price shock?

- a) The S&P 500 gapping higher by 2% following a positive employment report.
- b) Crude oil futures gaining 1.5% after an unexpected inventory decline announcement.
- c) A 10% decline in equity markets following an earthquake in a country's financial hub.
- d) Shares of XYZ losing 50% over a 12-month period after 4 consecutive quarters of disappointing earnings.

85. Which of the following methods reduces, if only mildly, the possibility of loss from price shocks?

- a) Avoid the use of leverage in trading
- b) Use well-defined rules for initiating trades
- c) Use well-defined stops for exiting from trades
- d) Avoid exposure to the market as much as possible

86. Average Maximum Retracement measures:

- a) the largest historic loss in a trading system.
- b) an average of 10 largest losses in a trading system.
- c) the average difference between the annualized return and risk free rate, divided by Beta.
- d) an average of the difference between the current value in the account and the past value, ignoring all-time high values.

87. When liquidating positions to lighten exposure, one should consider selling off:

- a) winning positions to take profits off the table.
- b) winning positions to reduce combined exposure risk.
- c) losing positions only if they have exceeded their respective time stops.
- d) losing positions as they have been proven inconsistent with the trade bias.

88. Suppose there is a choice of trading systems based on different characteristics of performance, and only one can be selected, which of the following should it be?

- a) Upward equity surges over downward equity surges.
- b) More time in the markets so that most of the opportunities can be captured.
- c) A longer time-to-recovery rather than more number of short-term drawdowns.
- d) Smaller profits rather than larger profits (as it is least exposed to markets from a time perspective).

89. If daily returns are constant, they can be converted into annualized risk by multiplying with the square root of:

- a) 365.
- b) 360.
- c) 252.
- d) 260.

90. The Sortino Ratio:

- a) is a form of semivariance.
- b) is the same as Sharpe ratio.
- c) uses portfolio Beta as the divisor.
- d) includes only downside risk in the denominator.

91. Which of the following return measures reflects excess returns over risk-free rate per unit of risk?

- a) Treynor ratio
- b) Calmar ratio
- c) Sharpe ratio
- d) Ulcer index

92. Which of the following types of trading systems exhibits a pattern of many smaller profits and few large losses?

- a) Parabolic-SAR based trend following system
- b) Moving average crossover system
- c) 26-week channel breakout system
- d) Mean-reversion system

93. If the initial margin requirement for a single gold futures contract is 8% (\$9,000), it represents a leverage of:

- a) 10%.
- b) 12.5%.
- c) 15.5%.
- d) 17.5%.

94. If the contract value of the May '16 Silver futures contract is \$75,000, and the implied leverage of a trading position is 16 times, the dollar amount of the initial margin is closest to:

- a) \$4,000.
- b) \$4,700.
- c) \$5,000.
- d) \$5,300.

95. A sell-stop order becomes a _____ order once triggered.

- a) limit
- b) market
- c) fill-or-kill
- d) immediate-or-cancel

96. Profit-taking targets based on price volatility are often calculated as a multiple of:

- a) ATR added to the system entry point.
- b) ATR added to the trade entry point (actual filled price).
- c) X% added to the system entry point.
- d) X% added to the trade entry point (actual filled price).

97. If a trader is using a correlation coefficient, r^2 , to rank the trend over 20 days, which of the following systems should be used to trade the lowest ranking markets?

- a) Parabolic-SAR based trend following system
- b) Moving average crossover system
- c) 26-week channel breakout system
- d) Mean-reversion system

98. Maximum Adverse Excursion measures:

- a) the largest loss observed over the test period.
- b) the largest profit observed over the test period.
- c) the time required (in trading days) to recover back to the peak following the largest drawdown observed.
- d) the time required (in calendar days) to recover back to the peak following the largest drawdown observed.

99. Using a long-term moving average to hedge portfolios results into a (n) _____ vs. a buy & hold system.

- a) increase in both volatility and drawdown
- b) decrease in both volatility and drawdown
- c) increase in volatility, but a reduction in drawdown
- d) decrease in volatility, but an increase in drawdown

100. Imagine facing the following pair of concurrent decisions:

Decision (i): Choose between: (A) A sure gain of \$240; (B) 25% chance to gain \$1000 and 75% chance to gain nothing.

Decision (ii): Choose between: (A) A sure loss of \$750; (B) 75% chance of losing \$1000 and 25% chance of losing nothing.

Based on the framing bias, which of the following combination of choices stand a high probability of being chosen?

- a) A, C
- b) A, D
- c) B, C
- d) B, D

101. Anchoring is a perception bias arising when investors:

- a) act on recent information.
- b) opt for a way to avoid taking a loss.
- c) are risk averse toward favorable opportunities.
- d) attempt to make a guess despite having limited information.

102. Which of the following methods helps filter out the underlying noise in a time series and find the current trend direction of the series?

- a) Detrending
- b) N-period channel breakout operator
- c) Using a filter based on RSI readings
- d) Incorporating average return metrics

103. The channel normalization operator:

- a) functions as a low-pass filter.
- b) functions as a high-pass filter.
- c) has a dynamic look-back span.
- d) requires 3 arguments to be scripted.

104. Which of the following predictability studies effectively contradicts the weak-form of EMH?

- a) Price momentum unable to persist beyond 3-6 weeks
- b) Strong price trends measured over a 3 to 5 year period tend to reverse
- c) Strong price trends measured over a 3 to 5 year period tend to continue
- d) Volume offers no additional edge when combined with price action analysis

105. Which of the following predictability studies effectively contradicts the semi-strong form of EMH?

- a) Stocks with high EV/EBIDTA ratios outperform those with low P/E ratios.
- b) Stocks with high P/E ratios outperform those with low P/E ratios.
- c) Stocks with high P/B ratios outperform those with low P/B ratios.
- d) Stocks with low P/B ratios outperform those with high P/B ratios.

106. Identify the two foundational pillars of behavioral finance:

- a) Limited ability of arbitrage, and limits of human rationality
- b) Unlimited ability of arbitrage, and unpredictability of human judgement errors
- c) Unlimited ability of arbitrage, and human dependence on heuristics to simplify and speed up complex cognitive tasks
- d) Unlimited ability of arbitrage, and human tendency of giving too little weight to new information

107. Human tendency of accepting only favorable information and ignoring unfavorable inputs can be attributed to:

- a) anchoring.
- b) belief inertia.
- c) confirmation bias.
- d) conservatism bias.

108. Conservatism bias refers to the human tendency of:

- a) avoiding risk-taking even when the probabilities are favorable.
- b) relying on heuristics to simplify complex cognitive tasks.
- c) giving too little weight to new information.
- d) making biased judgement and choices.

109. As per the Barberis, Shleifer & Vishny (BSV) Hypothesis, investors may sometimes over/under-react given two distinct biases, _____ and _____.
a) framing, saliency
b) confirmation, conservatism
c) conservatism, sample size neglect
d) the crime of small numbers, saliency
110. Which of the following is an important assumption under the BSV hypothesis?
a) Markets follow a random walk.
b) Investors do sometimes consider that earnings trends follow a random walk.
c) A feedback loop that emerges from the crime of small numbers leads to mean reversion.
d) Investors labor under the false impression that at any given time, earnings are either in a growth trend or mean reversion process.
111. As per the Daniel, Hersheifer and Subrahmanyam (DHS) Hypothesis, non-random price momentum trends are the result of _____ bias and _____ bias.
a) endowment, saliency
b) confirmation, saliency
c) confirmation, anchoring
d) confirmation, self-attribution
112. An interaction between news watchers (fundamentalists) and momentum traders (technicians) creates a positive feedback loop as per the _____, and results into price trends.
a) EMH (Efficient Market Hypothesis)
b) DHS (Daniel, Hersheifer and Subrahmanyam) Hypothesis
c) BSV (Barberis, Shleifer & Vishny) Hypothesis
d) HS (Hong and Stein) Hypothesis
113. Which of the following observations validates the existence of systematic price motion in markets even if they are fully efficient?
a) All investors have the same attitude to risk.
b) Investors provide working capital for business formations but may not be compensated for the risk taken.
c) Efficient markets must offer profit opportunities to motivate investors to engage in costly activities of information processing and trading.
d) Efficient markets offer profit opportunities only to those investors that are willing to engage in costly activities of information processing and trading.

114. The most important consequence of technical analysis adopting the scientific method would be:

- a) an elimination of objective forecasts.
- b) an elimination of subjective approaches (Elliott, Gann, etc.).
- c) an improvement of subjective approaches (Elliott, Gann, etc.).
- d) an acceptance of the fact that most subjective methods are supported by statistical evidence.

115. Based on the classification provided in the Commitment of Traders (COT) report, which of the following groups is considered to be the most successful market participant?

- a) Commercials
- b) Retail traders
- c) Big speculators
- d) Institutional traders

116. Position limits set by the CFTC prevent:

- a) hedgers from speculating.
- b) retail traders from speculating.
- c) banks from speculating in/rigging the interest rates market.
- d) large speculators from accumulating big positions to bully the market.

117. Officers and investors holding more than _____ percent of the shares of a publicly traded company must report their buying and selling to the SEC.

- a) two
- b) three
- c) five
- d) ten

118. When analyzing short interest, the “Days to Cover” number measures:

- a) the number of days required for all shorts to cover, based on daily volume.
- b) the number of days required for all shorts to cover, based on average daily volume.
- c) the number of days required to cover 50% of total short positions, based on daily volume.
- d) the number of days required to cover 75% of total short positions, based on daily volume.

119. When the “*stocks above their 50-day MA*” indicator reaches the lower extreme (25%), and then moves away from that level, it shows that the:
- market may take a short-term pause, but continue higher.
 - market may take a short-term pause, but continue lower.
 - the intermediate-term trend has reached a likely turning point.
 - the intermediate-term trend is reinforced by weak breadth, and may continue lower.
120. The New High-New Low index tracks the behavior of market leaders by:
- subtracting the number of New Highs from the New Lows.
 - subtracting the number of New Lows from the New Highs.
 - taking the absolute value of the difference between New Highs and New Lows.
 - taking the absolute value of the difference between New Highs and New Lows, and dividing by the total number of stocks.
121. Interpret price action in the chart below, combined with takeaways from the NYSE New High-New Low index:



- Confirmation between price action and indicator, the ongoing pullback can be bought.
- Divergence between price action and indicator, but just a breadth-based warning sign.
- Divergence between price action and indicator, can initiate shorts at current levels.
- Can initiate long positions at current price level, as breadth bottomed out at the same level as the pullback in June.

122. In the weekly chart of the S&P 500 index shown below, breadth readings from the NYSE-based New High-New Low index indicate:



- a) capitulation, and present a generational buying opportunity.
- b) confirmation with price action, and possible downtrend continuation.
- c) confirmation with price action, but also the possibility of a meaningful snap-back relief rally.
- d) capitulation, but further evidence from price action maybe required before initiating long exposure.

123. Based on the behavior of the NYSE-based New High-New Low index, which of the following points on the chart offer pullback opportunities?



- a) A
- b) B
- c) C
- d) D

124. Major cycles observed in agricultural commodities are due to:

- a) the herding phenomenon.
- b) weather and fundamental patterns.
- c) mean-reverting characteristics of commodities.
- d) chance, as there is no scientific way of proving the existence of cycles.

125. When analyzing charts on multiple timeframes, it is wise to choose timeframes that are related to each other by a factor of:

- a) three.
- b) two.
- c) five.
- d) six.

126. Based on the duration of the position held, which of the following trades is an example of “swing trading”?

- a) Buying 100 shares of CSCO on March 2, 2016, selling 50 shares on March 7, 2016 and the remaining 50 shares on March 12, 2016.
- b) Buying 100 shares of CSCO at 11.15 AM @ \$21.25, squaring off the entire position at 2.00 PM the same day @ \$21.75.
- c) Buying 100 shares of CSCO at 3.00 PM @ \$21.65, squaring off the entire position at 3.01 PM the same day @ \$21.55.
- d) Buying 100 shares of CSCO on June 1, 2003 @ \$41.52, selling all shares on December 31, 2015 @ \$31.25.

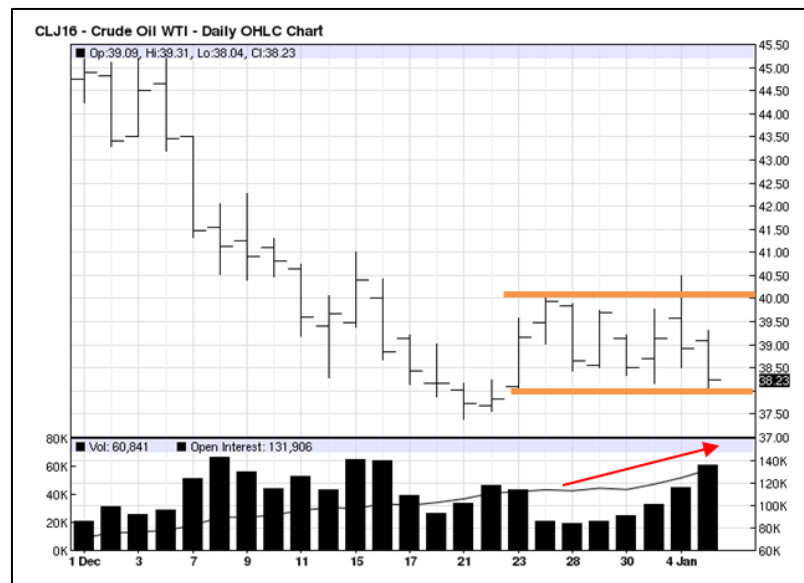
127. Which of the following is a key advantage of day-trading, vs. other popular methods such as swing trading or long-term investing?

- a) Higher liquidity, therefore less slippage
- b) Transaction costs are on the lower side
- c) Absence of overnight risk
- d) Low drawdowns

128. If open interest rises while prices are in a trading range, it is a _____ sign, as commercial hedgers are much more likely to _____ than speculators.

- a) bearish, short
- b) bearish, long
- c) bullish, short
- d) bullish, long

129. As shown in the chart below, a combination of rising open interest and flat (or range-bound) price action suggests that:



Source: www.barchart.com

- a) retail traders may be building up long positions.
- b) commercial hedgers are more likely to sell short than speculators.
- c) commercial hedgers are more likely initiating fresh long positions.
- d) big speculators are more likely to sell short than commercial hedgers.

130. A curved trendline is normally useful for:

- a) stable uptrends.
- b) stable downtrends.
- c) price consolidations.
- d) parabolic price moves.

131. Stocks with superior fundamentals will normally decouple and start outperforming on a relative basis during:

- a) a rampant bull market.
- b) a market consolidation.
- c) the last legs of an uptrend.
- d) a market correction (bear market).

132. Based on the 2-day EMA of the Force index, which of the following points on the chart represent a valid buying opportunity, if the trend on the weekly chart was higher throughout the 4-month period?



- a) A
- b) B
- c) C
- d) D

133. In the chart shown below, which of the following interpretations is considered valid given a combination of price action analysis and the behavior of the Force index?



- a) Given the negative divergence between the Force index and price action, it is wise to step aside as price action is likely to consolidate further.
- b) The Force index has turned negative, offering a long opportunity if tomorrow's price action manages to surpass today's high.
- c) The Force index is diverging negatively from price action, offering an opportunity to go short on further weakness.
- d) MSFT is retesting a support level; consider going long on a confirmation of support.

134. Analyze the chart of Randgold Resources (GOLD) shown below, particularly within the context of the behavior of the “on-balance volume” (OBV) indicator.



- a) OBV is confirming the primary downtrend in price action, but it would be prudent to wait for a short-term bounce to initiate new short positions.
- b) OBV is diverging positively from price action; a long trade can be initiated as price action has recaptured support from the July lows.
- c) OBV is diverging positively from price action; hence, only existing short positions should be covered.
- d) OBV is confirming the primary downtrend in price action; maintain short positions.

135. An analysis of OBV in the shares of Adobe Systems, Inc. (ADBE) shown below suggests that:



- a) any near-term strength should be considered as an opportunity to reduce positions, given the divergence between OBV and price action.
- b) any near-term dips should be considered as buying opportunities, given the confirmation between OBV and price action.
- c) we are likely to see a pullback unfold, given the “M” pattern in OBV towards the end of the chart (circled).
- d) price action is likely to go sideways in the near-term, given the extension in OBV.

136. Which of the following statements correctly interpret the behavior of price action and the Accumulation/Distribution (A/D) indicator shown in the chart shown below?



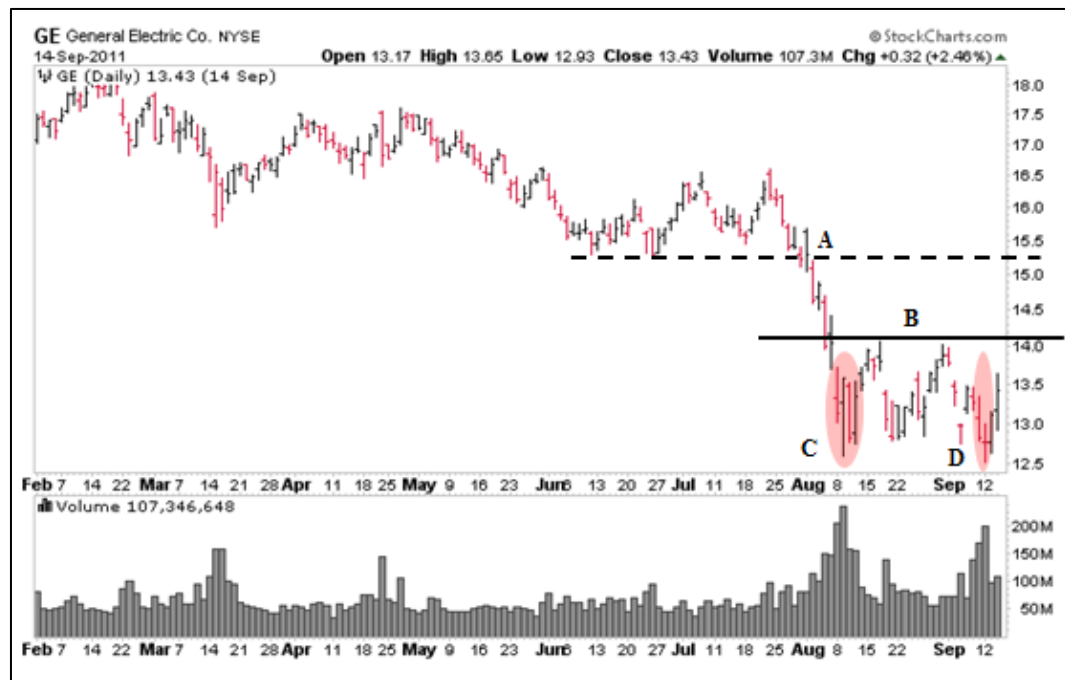
- a) Given the confirmation with price action by the A/D indicator at recent lows, one can go long only after price action manages to surpass \$29 (intermediate-term high).
- b) A positive divergence in early October '15, coupled with prices recapturing the March '15 lows (\$21) was an opportunity to initiate fresh long positions.
- c) Given the confirmation with price action by the A/D indicator at recent lows, one can go short at current levels keeping a stop above \$29.
- d) A positive divergence in early October '15 was an opportunity to initiate fresh long positions.

137. An analysis of volume pattern in shares of Bank of the Ozarks (NASDAQ: OZRK) suggests that:



- a) the primary uptrend in price action is confirmed by volume.
- b) the primary downtrend in price action is confirmed by volume.
- c) the high-volume bar marked by the vertical arrow identifies a panic bottom.
- d) the high-volume bar marked by the vertical arrow suggests the downtrend may have exhausted for the short-term, but may resume and make further lows over the next few months.

138. Based on an analysis of volume and price action in the following chart, which of the following points are valid considerations to initiate a long position?



- a) Point A (wait for a recapture of an important violated support - \$15.50).
- b) Point B (wait for a breakout above the Aug. highs – recent intermediate-term resistance).
- c) Point C (can initiate a long position on the close of the bar that marked a panic bottom on extremely high volume).
- d) Point D (can initiate a long position in September, on the bar that marked a low-volume retest of the panic bottom registered in August).

139. If the market falls to a new low, and volume reaches a new high,:

- a) a major bottom has been registered.
- b) a positive volume-price divergence is registered.
- c) a negative volume-price divergence is registered.
- d) the bottom is likely to be retested in the near-future.

140. Within an uptrend, if a short-term decline is associated with volume drying up, it indicates that:

- a) momentum is easing.
- b) momentum is likely to reverse.
- c) bulls are no longer running and selling is spent.
- d) bears are no longer running and buying is spent.

141. An equity mutual fund:
- a) is a relative return vehicle.
 - b) is an absolute return vehicle.
 - c) is less risky as compared to hedge funds.
 - d) involves less cost as compared to the popular S&P 500-based SPDR ETF (Ticker: SPY).
142. Alpha refers to:
- a) a measure of risk that can be applied to a stock/portfolio.
 - b) a measure of return that can be applied to a stock/portfolio.
 - c) a measure of momentum that can be applied to a stock/portfolio.
 - d) the excess returns earned by relative return investors, either above/below the market index to which their performance is benchmarked.
143. In a triple top pattern, _____ peaks are separated by _____ valleys.
- a) two, two
 - b) three, two
 - c) two, three
 - d) three, three
144. Which of the following measures of sentiment can be classified as a price-based metric?
- a) CBOE VIX index
 - b) New High-New Low index
 - c) Consumer Confidence Index
 - d) Purchasing Manager's Index
145. The McClellan Oscillator is calculated by:
- a) taking the sum of two exponential moving averages of advances plus declines.
 - b) taking the sum of two exponential moving averages of advances minus declines.
 - c) taking the difference between two exponential moving averages of advances plus declines.
 - d) taking the difference between two exponential moving averages of advances minus declines.

146. A trader observes a chart of JP Corp, with price action in a tight range and ADX beneath both Directional lines since the last three weeks. Over the last three days, the ADX rises from 7 to 13 from its lowest point. A key takeaway from this observation is that:

- a) the market remains in a lull, and more sideways consolidation is possible.
- b) it is safe to ignore this rise in ADX as price action remains in a tight range.
- c) the market is waking up from a lull, and is “ringing a bell” on an emerging trend.
- d) the market is waking up from a lull, and is likely to continue the prior trend (up or down).

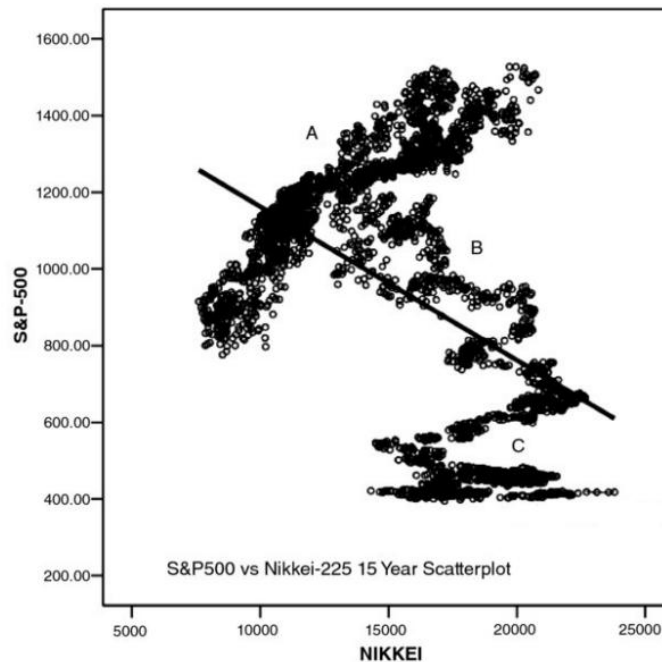
147. Tick volume measures:

- a) the number of contracts traded at each price tick.
- b) the number of contracts traded at each time interval.
- c) the change in open interest during a particular time interval.
- d) the number of recorded price changes during a particular time interval.

148. The method of “First Differences” is simply a way of:

- a) indexing price data.
- b) removing the trend from prices.
- c) isolating seasonal tendencies in prices.
- d) normalizing a data series for comparison.

149. Interpret the relationship between the S&P 500 and the Nikkei 225 indexes based on the chart shown below, if the Pearson's coefficient of correlation is -0.445 :



- a) Linear relationship, as the Best Fit line is curvilinear
 - b) Linear relationship, as points fall generally along a straight line
 - c) Non-linear relationship, as points fall generally along a straight line
 - d) Non-linear relationship, as points deviate significantly from the Best Fit line
150. One of the key problems associated with approximating the S&P 500 returns with the normal distribution model is that:
- a) the actual distribution does not have fatter tails.
 - b) the vast majority of the returns tend to be located near the center of the distribution.
 - c) the vast majority of the returns tend to be located near the bottom left of the distribution.
 - d) the vast majority of the returns tend to be located near the bottom right of the distribution.

**CMT Level II
Sample Exam
Answers**

1. John Welsh, CFA, CMT, is the founder of YMR Research, an investment management firm that specializes in short selling. Welsh identifies stocks that appear over-extended on price charts after large price increases. Additionally, Welsh also buys research from third-party firms that provide timely updates on any legislative or regulatory changes that may impact his shorted stocks favorably. Welsh sells short those stocks he estimates are due for a trend reversal, are near a valuation peak, and those that his sources identify as facing legal or regulatory challenges. Immediately after he sells a stock, Welsh conducts a public relations campaign to disclose all of the negative information he has gathered on the company, even if the information is not yet public. Which of Welsh's actions is most likely to be in violation of the CFA Institute Standards of Professional Conduct?

d. Both disclosing information about target companies and trading on information from third party research

Reference: CFA Institute Code of Ethics and Standards

2. Which of the following statements concerning requirements under Standard V (B) - Communication with Clients and Prospective Clients is mostly likely accurate? This standard requires members and candidates to:

a. disclose the basic format and general principles of the investment process.

Reference: CFA Institute Code of Ethics and Standards

3. James Thompson, CFA, has been accused of professional misconduct. The allegations concern Thompson's personal bankruptcy filing 10 years ago when he was a college student and had a large amount of credit card bills he could not pay. By not disclosing the bankruptcy filing to his clients, did Thompson most likely violate any CFA Institute Standards of Professional Conduct?

a. No

Reference: CFA Institute Code of Ethics and Standards

4. Emma Simone, CFA, CMT, manages equity accounts for government entities whose portfolios are classified as being extremely conservative and risk averse. Given that the objective of the said clients is to maximize returns with the lowest possible risk, Simone considers adding to their holdings, shares of Pinnacle Corp, a new, illiquid, micro-cap stock that she believes has the potential for high returns. To make her investment decision, Simone relies on comprehensive third-party research from an investment bank with a solid reputation for top-quality research. After her review of that research, Simone positions her accounts so each has a 10% allocation to Pinnacle Corp. Did Simone most likely violate any CFA Institute Standards of Professional Conduct by purchasing the micro-cap stock for her clients?

b. Yes, related to Suitability

Reference: CFA Institute Code of Ethics and Standards

5. Which of the following actions would be considered a violation of the standard on market manipulation?

d. Issuing false rumors about an investment to induce trading by others so you can benefit from the change in share price

Reference: CFA Institute Code of Ethics and Standards

6. Capturing information from which of the following internet-based sources is most likely to be considered material nonpublic information, if the information cannot be found in other locations?
c. A discussion thread in a LinkedIn group accessible only after fulfilling specific membership requirements
Reference: CFA Institute Code of Ethics and Standards
7. David Kelso, CFA, CMT, a research analyst, changes his recommendation on shares of Shine Inc. from “sell” to “buy”. Kelso emailed this change in investment advice to all his customers before the market open. Three hours later, one of his clients called with a short sell order of 500 shares of Shine. Under these circumstances, Kelso:
c. should advise the customer of the change in recommendation before accepting the order.
Reference: CFA Institute Code of Ethics and Standards
8. To undertake independent practice for an outside entity, apart from fulfilling their duties to their regular employer, members:
c. need to obtain permission from both the outside entity and their employer.
Reference: CFA Institute Code of Ethics and Standards
9. Which of the following patterns resonate with price action highlighted within the black circle?
d. Throwback
Reference: MTA, CMT Level II Curriculum (2016), Chapter 17
10. For a long trade initiated at point Z, which of the following represent an ideal stop-loss point? For a long trade initiated at point Z, which of the following represent an ideal stop-loss point?
a. A close below point A
Reference: MTA, CMT Level II Curriculum (2016), Chapter 17
11. According to Bulkowski, what is the minimum measured price objective for the gap observed at point B?
b. 674.5
Reference: MTA, CMT Level II Curriculum (2016), Chapter 18
12. Identify the chart pattern highlighted below:
a. Triple top
Reference: MTA, CMT Level II Curriculum (2016), Chapter 20
13. Identify the chart pattern highlighted below:
d. Head and Shoulders pattern
Reference: MTA, CMT Level II Curriculum (2016), Chapter 21
14. Based on the chart shown below, identify the best course of action:
d. Wait for a close below point A and execute shorts when prices are 3% below the neckline.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 21

15. Identify the chart pattern highlighted below:
b. Ascending triangle
Reference: MTA, CMT Level II Curriculum (2016), Chapter 19
16. Identify the chart pattern highlighted below at point A:
b. Bulltrap
Reference: MTA, CMT Level II Curriculum (2016), Chapter 1
17. Identify the chart pattern highlighted below:
d. Head and Shoulders bottom
Reference: MTA, CMT Level II Curriculum (2016), Chapter 21
18. Identify the chart pattern highlighted below:
a. Adam
Reference: MTA, CMT Level II Curriculum (2016), Chapter 20
19. Identify the chart pattern highlighted below:
a. Flag
Reference: MTA, CMT Level II Curriculum (2016), Chapter 19
20. An exhaustion gap is often found:
a. at the end of a significant move.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 18
21. In a Head & Shoulders pattern, volume is generally:
d. heaviest during the formation of the left shoulder.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 21
22. A well-defined price channel should cover ____ of all prices that occurred during the past 100 bars.
b. 95%
Reference: MTA, CMT Level II Curriculum (2016), Chapter 23
23. According to Schabacker, which of the following guideline help in identifying the end of bull markets?
1. Interest rates have declined.
2. Commodity prices have declined.
3. Trading volumes increase sharply.
4. Popular stocks advance significantly, while other companies' stocks collapse.
c. 3 & 4 only
Reference: MTA, CMT Level II Curriculum (2016), Chapter 1

24. According to the Dow Theory, which of the following stages are normally accompanied by highest volume?
d. Peak of a bull market or the panic phase of bear market
Reference: MTA, CMT Level II Curriculum (2016), Chapter 1
25. The implied volatility of an option is the projection of an annualized _____ standard deviation move in the underlying stock over the life of the option.
a. one
Reference: MTA, CMT Level II Curriculum (2016), Chapter 2
26. A V-top or V-bottom is always accompanied by _____ and usually _____.
b. high volatility, high volume
Reference: MTA, CMT Level II Curriculum (2016), Chapter 1
27. Increased buying of options by market participants leads to:
c. an increase in implied volatility
Reference: MTA, CMT Level II Curriculum (2016), Chapter 2
28. Which of the following is a measure used by option traders to analyze overvalued/ undervalued options?
c. Implied volatility
Reference: MTA, CMT Level II Curriculum (2016), Chapter 2
29. Which of the following involves the use of correlation to predict future values of one security to another?
b. Regression
Reference: MTA, CMT Level II Curriculum (2016), Chapter 6
30. The choice of two standard deviations when plotting Bollinger bands equates to a confidence band of:
b. 87%.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 9
31. Interest rate futures, money markets, and _____ stocks are among the investment vehicles closely tied to government rate policy.
a. utility
Reference: MTA, CMT Level II Curriculum (2016), Chapter 1
32. In a trend following system, the slower trendline (using a longer calculation period) identifies the _____ trend while faster trendline is used for/ as a _____.
a. primary, timing
Reference: MTA, CMT Level II Curriculum (2016), Chapter 10

33. Which of the following types of trailing stops only advance once triggered, but never retreat?
d. Wilder's Parabolic SAR
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
34. The histogram on a MACD indicator is created by subtracting the _____ line from the _____ line.
b. slower signal, MACD
Reference: MTA, CMT Level II Curriculum (2016), Chapter 11
35. In the following chart where is a negative divergence in RSI observed?
b. B
Reference: MTA, CMT Level II Curriculum (2016), Chapter 11
36. Identify the highlighted chart pattern below:
d. Head and Shoulders bottom
Reference: MTA, CMT Level II Curriculum (2016), Chapter 21
37. Identify the chart pattern highlighted below:
d. Rising three method
Reference: MTA, CMT Level II Curriculum (2016), Chapter 1
38. Identify the candlestick pattern highlighted below within circle A?
c. Bullish Harami
Reference: MTA, CMT Level II Curriculum (2016), Chapter 1
39. New short-selling is normally observed when declining prices are accompanied by _____ volume and _____ open interest.
a. falling, rising
Reference: MTA, CMT Level II Curriculum (2016), Chapter 2
40. Momentum refers to an analysis of:
c. price change over time
Reference: MTA, CMT Level II Curriculum (2016), Chapter 14
41. A combination of rising prices and flat On-balance volume (OBV) trend indicates a:
c. moderate uptrend.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 12
42. Which of the following can be used to predict the future price trend of a market based on its correlation with multiple related markets?
d. Correlation coefficient
Reference: MTA, CMT Level II Curriculum (2016), Chapter 16

43. The presence of a “fat tail” suggests that:
b. prices are not normally distributed.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 9
44. Typically, the _____ year of a president’s term posts the strongest returns for the market as per the Presidential Cycle.
c. third
Reference: MTA, CMT Level II Curriculum (2016), Chapter 12
45. Identify the stochastic pattern shown in the chart:
d. Setup (bearish)
Reference: MTA, CMT Level II Curriculum (2016), Chapter 12
46. Amplitude refers to:
a. the height of the wave from its horizontal midpoint (the X-axis)
Reference: MTA, CMT Level II Curriculum (2016), Chapter 12
47. _____ is known for emphasizing a high level of rationality in investor behavior and aggregate market outcome.
d. The Efficient Markets hypothesis
Reference: MTA, CMT Level II Curriculum (2016), Chapter 16
48. In an ideal situation, stock prices of metal mining companies and the U.S. dollar index are:
b. negatively correlated
Reference: MTA, CMT Level II Curriculum (2016), Chapter 4
49. To boost exports, the People’s Bank of China decided to devalue its currency, yuan. In order to accomplish this, the Bank is most likely to:
a. sell U.S. dollars
Reference: MTA, CMT Level II Curriculum (2016), Chapter 4
50. Near the end of an economic expansion:
b. bonds turn down before stocks and commodities.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 4
51. Fluctuations in the U.S. dollar will have an impact on the price of gold because:
b. gold is denominated in U.S. dollars.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 4
52. Sophisticated traders can incorporate intermarket analysis in their trading decisions through:
d. charts and correlation analysis.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

53. The Bank of Japan decides to buy U.S. dollars in order to push the Japanese yen lower. As a result, Japanese equity markets are expected to:
- a. rise.

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

54. Borrowing yen at lower interest rates and buying higher yielding assets such as emerging market equities or bonds will:
- d. push emerging market bonds and equities higher.

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

55. A key advantage of intermarket analysis as compared to traditional technical indicators is the addition of:
- d. leading indicators that anticipate reversals in trend direction.

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

56. Bonds have an impressive record as a leading indicator for the stock market, although this information cannot be used in constructing a trading system because:
- c. the lead times can be quite long, ranging from one to two years.

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

57. From a portfolio diversification perspective, the benefit of including foreign stocks is:
- c. doubtful, as equity markets around the world tend to have strong positive correlation.

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

58. Major changes in commodity prices affect the bond markets of different countries:
- c. in different ways, depending upon their economic structure.

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

59. During periods of economic contractions/ recessions, which of the following asset classes are likely to outperform equity markets on a relative as well as absolute basis?
- a. Bonds

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

60. Based on the correlation matrix, identify two instruments that can be combined with the FTSE to reduce overall portfolio risk by diversification:
- a. Gold, bonds

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

61. From an intermarket perspective, a bullish breakout from the ascending triangle (highlighted by a circle) in the U.S. dollar index will result in crude oil:
- a. trading lower.

Reference: MTA, CMT Level II Curriculum (2016), Chapter 4

62. The MACD histogram (in the traditional setup) is calculated by taking:
c. the difference between the 12 and 26-day EMAs.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 24
63. A buy signal using the MACD histogram is generated when:
a. the MACD histogram stops falling and ticks up.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 24
64. Identify the chart pattern highlighted below:
b. Divergence
Reference: MTA, CMT Level II Curriculum (2016), Chapter 24
65. Which of the following represents a valid MACD histogram buy signal?
a. A
Reference: MTA, CMT Level II Curriculum (2016), Chapter 24
66. If a trader is attempting to trade MACD divergences based on the chart shown below, which of the following statements would reflect the most appropriate line of action?
d. Despite the negative MACD divergence, refrain from going short as prices are retesting a support level (uptrend line).
Reference: MTA, CMT Level II Curriculum (2016), Chapter 24
67. Oscillators:
c. help in catching turning points.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 11
68. Which of the following is essentially a leading or a coincident indicator:
a. Relative Strength Index
Reference: MTA, CMT Level II Curriculum (2016), Chapter 28
69. Which of the following is a valid RSI signal?
b. Divergence
Reference: MTA, CMT Level II Curriculum (2016), Chapter 28
70. Which of the following instances marks a valid sell signal with respect to the Directional system?
a. A
Reference: MTA, CMT Level II Curriculum (2016), Chapter 25
71. It pays to buy using overbought signals of daily RSI only when:
a. the weekly RSI trend is up.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 28

72. The Force index combines _____ and _____ to discover the force of bulls or bears behind every rally or decline.
a. volume, price
Reference: MTA, CMT Level II Curriculum (2016), Chapter 30
73. Consensus indicators, also known as contrary opinion indicators:
c. are only suitable only as warning signs.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 38
74. Market Letter writers:
d. are most bullish at market tops and most bearish at market bottoms as a group.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 38
75. When a leading business magazine puts a bull on its cover, it's usually:
a. a good time to take profits on long positions.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 38
76. European investors not buying portfolio insurance, considering the calming effect of ECB President, Mario Draghi's comments on global financial markets, is an example of which of the following biases?
b. Saliency bias
Reference: MTA, CMT Level II Curriculum (2016), Chapter 43
77. An investor invests in stock A with a long term perspective and his goal is capital appreciation. In five years, he has seen his investment grow 20 times. He is advised by his financial advisor to sell half of his stake in stock A and invest in stock B that he feels is expected to perform better than stock A. According to the endowment effect, the investor is expected to:
a. avoid selling stock A.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 44
78. Consider two stocks with an initial investment of \$10,000, currently facing the following prospects:
- Stock 1 currently has a gain of -\$2,000 (i.e., a loss), and going forward has a 50 percent chance of going down \$1,000 and a 50 percent chance of going up \$2,500.
 - Stock 2 currently has a gain of \$2,000, and going forward has a 40 percent chance of going down \$1,000 and a 60 percent chance of going up \$2,500.
- The investor needs to close out one position to pay off other debts. Which is he or she most likely to choose?
- a. Avoid selling stock A
Reference: MTA, CMT Level II Curriculum (2016), Chapter 44
79. The biggest drawback of a relative strength system is that:
b. the portfolio is long-only and is fully invested.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 45

80. One of the possible solutions to control losses and drawdowns while using a relative strength rotation system is to:
b. add non-correlated asset classes.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 45
81. Daily market volatility gives a good approximation of:
c. systematic risk.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
82. Which of the following represents the greatest risk for traders?
b. Price shock
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
83. Based on the chart shown below, analyze the behavior of the A/D line.
d. The breakout to new highs is not being confirmed by broader market participation.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 37
84. Which of the following instances represent a price shock?
c. A 10% decline in equity markets following an earthquake in a country's financial hub.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
85. Which of the following methods reduces, if only mildly, the possibility of loss from price shocks?
d. Avoid exposure to the market as much as possible
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
86. Average Maximum Retracement measures:
d. an average of the difference between the current value in the account and the past value, ignoring all-time high values.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
87. When liquidating positions to lighten exposure, one should consider selling off:
d. losing positions as they have been proven inconsistent with the trade bias.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
88. Suppose there is a choice of trading systems based on different characteristics of performance, and only one can be selected, which of the following should it be?
a. Upward equity surges over downward equity surges.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
89. If daily returns are constant, they can be converted into annualized risk by multiplying with the square root of:
c. 252
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46

90. The Sortino Ratio:
d. includes only downside risk in the denominator.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
91. Which of the following return measures reflects excess returns over risk-free rate per unit of risk?
c. Sharpe ratio
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
92. Which of the following types of trading systems exhibits a pattern of many smaller profits and few large losses?
d. Mean-reversion system
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
93. If the initial margin requirement for a single gold futures contract is 8% (\$9,000), it represents a leverage of:
b. 12.5%.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
94. If the contract value of the May '16 Silver futures contract is \$75,000, and the implied leverage of a trading position is 16 times, the dollar amount of the initial margin is closest to:
b. \$4,700
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
95. A sell-stop order becomes a _____ order once triggered.
a. limit
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
96. Profit-taking targets based on price volatility are often calculated as a multiple of:
a. ATR added to the system entry point.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
97. If a trader is using a correlation coefficient, r^2 , to rank the trend over 20 days, which of the following systems should be used to trade the lowest ranking markets?
d. Mean-reversion system
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
98. Maximum Adverse Excursion measures:
a. the largest loss observed over the test period.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 46
99. Using a long-term moving average to hedge portfolios results into a (n) _____ vs. a buy & hold system.
b. decrease in both volatility and drawdown
Reference: MTA, CMT Level II Curriculum (2016), Chapter 45

100. Imagine facing the following pair of concurrent decisions:
Decision (i): Choose between: (A) A sure gain of \$240; (B) 25% chance to gain \$1000 and 75% chance to gain nothing.
Decision (ii): Choose between: (A) A sure loss of \$750; (B) 75% chance of losing \$1000 and 25% chance of losing nothing.
Based on the framing bias, which of the following combination of choices stand a high probability of being chosen?
c. B, C
Reference: MTA, CMT Level II Curriculum (2016), Chapter 44
101. Anchoring is a perception bias arising when investors:
d. attempt to make a guess despite having limited information.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 43
102. Which of the following methods helps filter out the underlying noise in a time series and find the current trend direction of the series?
b. N-period channel breakout operator
Reference: MTA, CMT Level II Curriculum (2016), Chapter 41
103. The channel normalization operator:
b. functions as a high-pass filter.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 41
104. Which of the following predictability studies effectively contradicts the weak-form of EMH?
c. Strong price trends measured over a 3 to 5 year period tend to continue
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
105. Which of the following predictability studies effectively contradicts the semi-strong form of EMH?
d. Stocks with low P/B ratios outperform those with high P/B ratios.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
106. Identify the two foundational pillars of behavioral finance:
a. Limited ability of arbitrage, and limits of human rationality
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
107. Human tendency of accepting only favorable information and ignoring unfavorable inputs can be attributed to:
c. confirmation bias
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
108. Conservatism bias refers to the human tendency of:
c. giving too little weight to new information.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40

109. As per the Barberis, Shleifer & Vishny (BSV) Hypothesis, investors may sometimes over/under-react given two distinct biases, _____ and _____.
c. conservatism, sample size neglect
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
110. Which of the following is an important assumption under the BSV hypothesis?
d. Investors labor under the false impression that at any given time, earnings are either in a growth trend or mean reversion process.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
111. As per the Daniel, Hersheleifer and Subrahmanyam (DHS) Hypothesis, non-random price momentum trends are the result of _____ bias and _____ bias.
d. confirmation, self-attribution
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
112. An interaction between news watchers (fundamentalists) and momentum traders (technicians) creates a positive feedback loop as per the _____, and results into price trends.
d. HS (Hong and Stein) Hypothesis
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
113. Which of the following observations validates the existence of systematic price motion in markets even if they are fully efficient?
c. Efficient markets must offer profit opportunities to motivate investors to engage in costly activities of information processing and trading.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 40
114. The most important consequence of technical analysis adopting the scientific method would be:
b. an elimination of subjective approaches (Elliott, Gann, etc.).
Reference: MTA, CMT Level II Curriculum (2016), Chapter 39
115. Based on the classification provided in the Commitment of Traders (COT) report, which of the following groups is considered to be the most successful market participant?
a. Commercials
Reference: MTA, CMT Level II Curriculum (2016), Chapter 38
116. Position limits set by the CFTC prevent:
d. large speculators from accumulating big positions to bully the market.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 38
117. Officers and investors holding more than _____ percent of the shares of a publicly traded company must report their buying and selling to the SEC.
c. five
Reference: MTA, CMT Level II Curriculum (2016), Chapter 38

118. When analyzing short interest, the “Days to Cover” number measures:
b. the number of days required for all shorts to cover, based on average daily volume.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 38
119. When the “*stocks above their 50-day MA*” indicator reaches the lower extreme (25%), and then moves away from that level, it shows that the:
c. the intermediate-term trend has reached a likely turning point.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 36
120. The New High-New Low index tracks the behavior of market leaders by:
b. subtracting the number of New Lows from the New Highs.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 35
121. Interpret price action in the chart below, combined with takeaways from the NYSE New High-New Low index:
b. Divergence between price action and indicator, but just a breadth-based warning sign.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 35
122. In the weekly chart of the S&P 500 index shown below, breadth readings from the NYSE-based New High-New Low index indicate:
a. capitulation, and present a generational buying opportunity.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 35
123. Based on the behavior of the NYSE-based New High-New Low index, which of the following points on the chart offer pullback opportunities?
d. D
Reference: MTA, CMT Level II Curriculum (2016), Chapter 35
124. Major cycles observed in agricultural commodities are due to:
b. weather and fundamental patterns.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 33
125. When analyzing charts on multiple timeframes, it is wise to choose timeframes that are related to each other by a factor of:
c. five.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 34
126. Based on the duration of the position held, which of the following trades is an example of “swing trading”?
a. Buying 100 shares of CSCO on March 2, 2016, selling 50 shares on March 7, 2016 and the remaining 50 shares on March 12, 2016.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 34

127. Which of the following is a key advantage of day-trading, vs. other popular methods such as swing trading or long-term investing?
c. Absence of overnight risk
Reference: MTA, CMT Level II Curriculum (2016), Chapter 34
128. If open interest rises while prices are in a trading range, it is a _____ sign, as commercial hedgers are much more likely to _____ than speculators.
a. bearish, short
Reference: MTA, CMT Level II Curriculum (2016), Chapter 32
129. As shown in the chart below, a combination of rising open interest and flat (or range-bound) price action suggests that:
b. commercial hedgers are more likely initiating fresh long positions.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 32
130. A curved trendline is normally useful for:
d. parabolic price moves.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 17
131. Stocks with superior fundamentals will normally decouple and start outperforming on a relative basis during:
d. a market correction (bear market).
Reference: MTA, CMT Level II Curriculum (2016), Chapter 16
132. Based on the 2-day EMA of the Force index, which of the following points on the chart represent a valid buying opportunity, if the trend on the weekly chart was higher throughout the 4-month period?
d. D
Reference: MTA, CMT Level II Curriculum (2016), Chapter 31
133. In the chart shown below, which of the following interpretations is considered valid given a combination of price action analysis and the behavior of the Force index?
c. The Force index is diverging negatively from price action, offering an opportunity to go short on further weakness.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 31
134. Analyze the chart of Randgold Resources (GOLD) shown below, particularly within the context of the behavior of the “on-balance volume” (OBV) indicator.
b. OBV is diverging positively from price action; a long trade can be initiated as price action has recaptured support from the July lows.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 30

135. An analysis of OBV in the shares of Adobe Systems, Inc. (ADBE) shown below suggests that:
b. any near-term dips should be considered as buying opportunities, given the confirmation between OBV and price action.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 30
136. Which of the following statements correctly interpret the behavior of price action and the Accumulation/Distribution (A/D) indicator shown in the chart shown below?
b. A positive divergence in early October '15, coupled with prices recapturing the March '15 lows (\$21) was an opportunity to initiate fresh long positions.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 30
137. An analysis of volume pattern in shares of Bank of the Ozarks (NASDAQ: OZRK) suggests that:
b. the primary downtrend in price action is confirmed by volume.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 29
138. Based on an analysis of volume and price action in the following chart, which of the following points are valid considerations to initiate a long position?
d. Point D (can initiate a long position in September, on the bar that marked a low-volume retest of the panic bottom registered in August).
Reference: MTA, CMT Level II Curriculum (2016), Chapter 29
139. If the market falls to a new low, and volume reaches a new high,:
d. the bottom is likely to be retested in the near-future.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 29
140. Within an uptrend, if a short-term decline is associated with volume drying up, it indicates that:
c. bulls are no longer running and selling is spent.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 29
141. An equity mutual fund:
a. is a relative return vehicle.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 16
142. Alpha refers to:
d. the excess returns earned by relative return investors, either above/below the market index to which their performance is benchmarked.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 16
143. In a triple top pattern, _____ peaks are separated by _____ valleys.
b. three, two
Reference: MTA, CMT Level II Curriculum (2016), Chapter 20

144. Which of the following measures of sentiment can be classified as a price-based metric?
b. New High-New Low index
Reference: MTA, CMT Level II Curriculum (2016), Chapter 35
145. The McClellan Oscillator is calculated by:
d. taking the difference between two exponential moving averages of advances minus declines.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 12
146. A trader observes a chart of JP Corp, with price action in a tight range and ADX beneath both Directional lines since the last three weeks. Over the last three days, the ADX rises from 7 to 13 from its lowest point. A key takeaway from this observation is that:
c. the market is waking up from a lull, and is “ringing a bell” on an emerging trend.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 25
147. Tick volume measures:
d. the number of recorded price changes during a particular time interval.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 13
148. The method of “First Differences” is simply a way of:
b. removing the trend from prices.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 7
149. Interpret the relationship between the S&P 500 and the Nikkei 225 indexes based on the chart shown below, if the Pearson’s coefficient of correlation is -0.445:
d. Non-linear relationship, as points deviate significantly from the Best Fit line
Reference: MTA, CMT Level II Curriculum (2016), Chapter 5
150. One of the key problems associated with approximating the S&P 500 returns with the normal distribution model is that:
b. the vast majority of the returns tend to be located near the center of the distribution.
Reference: MTA, CMT Level II Curriculum (2016), Chapter 5